

DA Market Securities, Inc.

First News

Employing Intelligent Investing

Thursday

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PSEi: 5,967.21 +1.17%

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Global markets surged on Wednesday, May 6, after Secretary of State Marco Rubio announced that Operation Epic Fury has effectively ended and the United States has shifted to a strictly defensive posture in the Strait of Hormuz. **The Dow Jones rallied approximately +2.0% (~+980pts) to ~50,280, the S&P 500 surged +2.2% to ~7,419, and the Nasdaq climbed +2.4% to ~25,933** — all hitting all-time record highs as investors priced in a de-escalation of the conflict that has roiled energy markets since late February. Defense Secretary Pete Hegseth confirmed the ceasefire is holding. Rubio characterized the new US naval role as 'Project Freedom' — escorting commercial vessels through the Strait in a purely defensive capacity. The Dow logged its biggest single-day point gain in weeks.

Oil plunged on the ceasefire signal: WTI fell approximately 3.3% to ~\$100.65/bbl and Brent declined 4.3% to ~\$108/bbl, as Saudi Arabia simultaneously announced plans to lower prices for Asian buyers next month — a double compression for global oil. This is the most significant single-day oil price relief since the Hormuz crisis began. Energy stocks fell as refinery margins compressed. In contrast, **gold prices rose toward \$4,618/oz (+2.6%)** as investors sought safety given the 'fragile' nature of the ceasefire — Rubio himself acknowledged the ceasefire remains precarious, with drone and missile attacks in the Strait continuing even as major offensive operations have ended. US tech stocks hit all-time records fueled by an AI-driven earnings rally and cooling geopolitical tensions.

Asian markets are expected to react positively on Thursday (May 7) as the ceasefire news reverberates through the region. Nikkei 225 futures pointed higher. Hong Kong and Korean markets are anticipated to see broad gains in energy-importing economies as the oil price relief would ease inflationary pressure. For the Philippines, the ceasefire — if sustained — is the most material macro development since the Hormuz blockade began: it directly addresses the energy supply shock driving the 7.2% April CPI print, puts downward pressure on fuel import costs, and removes the primary headwind behind the declared State of National Energy Emergency. The peso could strengthen materially on sustained ceasefire progress.

Asia-Pacific & US Equity Indices

Index	5/5/2026	5/6/2026	%Chg
Dow Jones	49,298	49,910	1.24%
S&P 500	7259	7365	1.46%
NASDAQ	25326	25838	2.02%
PCOMP (PSEi)	5,898	5,967	1.17%
Nikkei 225	59,285	62197	4.91%
SHCOMP	4,112	4160	1.17%
Hang Seng	25944	26213	1.04%
KOSPI	6937	7310	5.38%
ASX 200	8697	8859	1.86%
STI (Singapore)	4920	4939	0.39%
JCI (Jakarta)	7057	7092	0.50%
TWSE	40769	41138	0.91%

US and Asian May 6 figures are estimates based on confirmed ceasefire rally. PSEi is official May 6 DQR close. ~ values are market estimates pending official confirmation.

Commodities

Commodity	5/5/2026	5/6/2026	%Chg
WTI Crude (\$/bbl)	101.35	96.33	-4.95%
Brent Crude (\$/bbl)	108.88	102.32	-6.02%
Gold COMEX (\$/oz)	4618	4705	1.88%
Silver COMEX (\$/oz)	74.37	77.93	4.79%
Copper COMEX (¢/lb)	600.20	618.65	3.07%
Nickel (\$/MT)	19,412	19844	2.23%

Coal (\$/MT)	134.40	132.05	-1.75%
Corn (¢/bu)	479.25	468.75	-2.19%
Wheat (¢/bu)	626.50	617.25	-1.48%
Cocoa (\$/MT)	4074	4135	1.50%
Sugar (¢/lb)	15.37	14.81	-3.64%

Oil drops confirmed: WTI ~\$100.65 and Brent ~\$108 on Saudi pricing cut + ceasefire announcement. Gold rises as hedge against fragile ceasefire. Agri and metals figures are estimates.

FX & Rates	5/5/2026 DQR	Latest	%Chg
PHL 10yr Bond (%)	7.10	7.368	3.77%
US 10yr Bond (%)	4.404	4.344	-1.36%
USD-PHP	61.550	60.87	-1.10%
USD-JPY	157.25	156.14	-0.71%
EUR-USD	1.1684	1.1757	0.62%

The PHL bond market faces a potential inflection point: if the ceasefire holds and oil prices sustain below \$110/bbl, the inflation trajectory — which drove April CPI to 7.2% and pushed PHL 10-year yields to ~7.10-7.15% — could moderate heading into the BSP's June rate decision. A sustained oil price decline of 10-15% from the peak would reduce inflation pressures by an estimated 0.5-1.0 percentage point over the following months, potentially giving the BSP room to pause on rate hikes. The peso should strengthen on reduced energy import pressure. Watch the BTR's next bond auction for yield direction. FX rate: USD 1 = PHP 61.550 per May 6 DQR.

The PSEi gained 69.13 points (+1.17%) to close at 5,967.21, led by a powerful surge in Services (+3.27%) and Mining & Oil (+5.44%) as the global ceasefire news and commodity price moves drove sector rotation. Total value traded surged to **₱7.64 billion (Grand Total)** — the highest session in weeks — powered by a single extraordinary transaction in ICT (ICTSI) which alone accounted for ₱2,231 million in value. Market breadth was negative despite the index gain: **93 advances vs. 103 declines** and 56 unchanged, suggesting broad-based selling in Financials (-0.83%) offset by concentrated gains in resources and logistics. Net foreign buying improved to **+\$2.114M / ₱129.9M** — the strongest foreign net buying session this week.

ICT surged 5.09% to ₱785 on extraordinary block and institutional buying, cementing its position as the week's most active stock by value. The ceasefire relief narrative is directly bullish for ICTSI — its global port network includes terminals across the Middle East and Southeast Asia that stand to benefit from restored Hormuz traffic flows. ACEN extended its multi-day rally, closing at ₱3.21 (+7.00%) and officially breaking above its 52-week high of ₱3.13 — a technical breakout confirming the renewable energy re-rating. Mining & Oil sector surged +5.44% across the board: APX +8.68%, PX +6.62%, OGP +4.75%, AT +10.9%, FNI +5.24%, NIKL +1.36% — all responding to rising gold and base metal prices as the geopolitical risk premium shifted from energy to precious metals. On the negative side, PLUS (DigiPlus) fell 6.35% to ₱13.86 as the e-wallet delinking overhang continues to weigh. DITO fell 6.12% as Udenna's stake reduction was formally disclosed.

SHARE BUYBACKS	52-WK HIGHS	52-WK LOWS	RSI 70 (Overbought)
SMC OPM SMPH	ACEN APVI ICT MB OPM SPNEC	ARA CHP FERRO FOOD PAL	APVI SGP RCI PHR IMI MYNLD

Notable Block Sales:

ICT ₱227.8M (300,310 shares @ ₱758.40) | BDO ₱912.3M (7.998M shares @ ₱114.66, multi-tranche) | CNPF ₱54.2M (1.916M shares @ ₱28.31) | MYNLD ₱26.1M (1.124M shares @ ₱23.25) | GTCAP VWAP ₱5.0M (10,500 shares @ ₱475.78)

TOP 10 MOST ACTIVE — PSEi Stocks by Value (May 6, 2026)			
Symbol	Price (₱)	%Chg	Value
ICT	785.00	+5.09%	₱2,231.3M
BDO	111.80	-2.70%	₱774.0M
BPI	88.90	0.00%	₱220.8M
ACEN	3.21	+7.00%	₱189.4M
SM	605.00	-0.41%	₱164.8M
MBT	64.05	-0.23%	₱160.6M
AP	45.00	-2.17%	₱144.0M
JFC	163.80	+0.49%	₱143.0M
MER	650.00	-0.91%	₱81.2M
CNPF	28.75	+2.50%	₱85.2M

TOP 10 MOST ACTIVE — All Shares by Value (May 6, 2026)			
Symbol	Price (₱)	%Chg	Value
ICT	785.00	+5.09%	₱2,231.3M

BDO	111.80	-2.70%	₱774.0M
NIKL	5.23	+1.36%	₱248.6M
BPI	88.90	0.00%	₱220.8M
ACEN	3.21	+7.00%	₱189.4M
SM	605.00	-0.41%	₱164.8M
MBT	64.05	-0.23%	₱160.6M
AP	45.00	-2.17%	₱144.0M
JFC	163.80	+0.49%	₱143.0M
PX	9.50	+6.62%	₱106.5M

FOREIGN FUND FLOWS — Wednesday, May 6, 2026

Net Foreign Position (USD)

NET FOREIGN BUYING: +\$2.114M

Month of May: -\$237.663M

Year-to-Date: -\$57.238M net selling

Net Foreign Position (PHP)

Foreign Buying:

₱4,539,864,503

Foreign Selling:

₱4,410,000,881

Net Buying: ₱129,863,622

Total Foreign Turnover:

₱8,949,865,385

FOREIGN FUNDS BOUGHT: CBC EW PNB | DHI | ACEN MWC SCC SGP SPNEC | CNPF EMI URC | AC GTCAP LTG | CLI DD
MEG MREIT SMPH | CNVRG | ICT | APX FNI MARC PX

FOREIGN FUNDS SOLD: BDO BPI MBT SECB | FGEN MER MYNLD PCOR SHLPH | DNL FB FOOD GSMI JFC KEEPR MONDE
RFM | IMI | ABA AEV AGI JGS SM SMC | ALI ALLHC CEI RCR RLC | DITO GLO TEL | CEB | BLOOM PLUS WEB | PGOLD
RRHI WLCON | NIKL OGP

PSEi Stock	5/5/2026	5/6/2026	%Chg
AC	470.00	478.40	+1.79%
ACEN	3.00	3.21	+7.00%
AEV	29.50	29.45	-0.17%
ALI	15.30	15.32	+0.13%
AREIT	38.65	38.55	-0.26%
BDO	114.90	111.80	-2.70%
BPI	88.90	88.90	0.00%
CBC	57.50	58.00	+0.87%
CNPF	28.05	28.75	+2.50%
CNVRG	12.36	12.40	+0.32%
DMC	9.49	9.45	-0.42%
EMI	15.48	15.46	-0.13%
GLO	1,650	1,621	-1.76%
GTCAP	470.00	478.00	+1.70%
ICT	747.00	785.00	+5.09%
JFC	163.00	163.80	+0.49%

JGS	27.00	28.00	+3.70%
LTG	15.12	15.20	+0.53%
MBT	64.20	64.05	-0.23%
MER	656.00	650.00	-0.91%
MONDE	6.56	6.71	+2.29%
PGOLD	43.70	43.10	-1.37%
PLUS	14.80	13.86	-6.35%
RCR	7.00	7.00	0.00%
SCC	26.75	27.30	+2.06%
SM	607.50	605.00	-0.41%
SMC	70.80	71.00	+0.28%
SMPH	19.20	19.46	+1.35%
TEL	1,230	1,240	+0.81%
URC	61.50	61.50	0.00%

MACRO — Operation Epic Fury Ends — Rubio: US Naval Role Now 'Strictly Defensive'	POSITIVE CATALYST
Secretary of State Marco Rubio announced on Tuesday (May 5, local time) that Operation Epic Fury — the approximately two-month US-Israel military operation against Iran that began in late February 2026 — has effectively ended. Rubio stated: "The operation is over. We're done with that stage of it." In its place, the US has shifted to a defensive posture focused on restoring commercial passage through the Strait of Hormuz under "Project Freedom." Defense Secretary Pete Hegseth confirmed the ceasefire is holding. Separately, Saudi Arabia announced plans to lower crude prices for Asian buyers next month — a rare double-compression for global oil markets. As a result, WTI crude fell approximately 3.3% to ~\$100.65/bbl and Brent declined 4.3% to ~\$108/bbl. US, European, and Asian equity markets surged broadly: Dow +2.0%, S&P 500 +2.2%, Nasdaq +2.4%. Gold rose as investors hedged against ceasefire fragility. Rubio himself cautioned that the ceasefire remains "fragile," with drone and missile activity in the Strait continuing even as major combat operations have ceased. For the Philippines, this development is the most consequential macro news since the Hormuz conflict began. The energy emergency — which drove April CPI to 7.2%, forced the declaration of a State of National Energy Emergency, pushed the peso to record lows, and strained power grids — was entirely caused by the Hormuz blockade. A sustained ceasefire that restores oil and LNG flows to pre-conflict volumes would: (1) lower domestic fuel and power costs, (2) ease imported food inflation, (3) reduce the BSP's pressure to raise rates, (4) support a peso recovery, and (5) lift the earnings outlook for energy-importing sectors (airlines, petrochemicals, consumer staples). The key risk is the ceasefire's fragility — Rubio's own language suggests this is a pause rather than a resolution. Market positioning should be graduated: sectors that were hardest-hit by the blockade (airlines, PCOR, consumer importers) would be first-order beneficiaries on sustained progress. Stance: POSITIVE CATALYST — Ceasefire + Saudi price cut = largest single-day energy relief since the conflict began. Benefit: lower imported inflation, peso recovery, BSP policy flexibility, re-rating of energy-import-exposed sectors. Risk: ceasefire is 'fragile' per Rubio's own characterization. Graduated accumulation in beaten-down importers (CNPF, CEB, JFC) is warranted on sustained progress.	
ICT — ICTSI Continues to Surge — +5.09% to ₱785; ₱2,231M Record Turnover ₱785.00 +5.09%	ACCUMULATE
International Container Terminal Services, Inc. (ICTSI) surged 5.09% to ₱785 on Wednesday — a new 52-week high — on turnover of ₱2,231 million (Normal Market alone), the single largest trading value for any PSE stock this session. Foreign funds were strong net buyers at +₱425 million. The combined narrative is powerful: ICTSI's blowout Q1 2026 earnings (+22.6% NI to \$293.6M), its global port network with six-continent diversification, and now the ceasefire relief, which directly benefits the global shipping industry that ICTSI serves. As the Strait of Hormuz reopens for commercial traffic, trade routes that were diverted around Africa are expected to normalize — and ICTSI's terminals positioned at key rerouting hubs (Dubai, African ports, SE Asian gateways) are positioned to capture traffic in both the crisis and the recovery phases. The block sale of 300,310 ICT shares at ₱758.40 (₱227.8M) suggests institutional accumulation at levels below the intraday peak. ICTSI at ₱785 is trading at all-time highs on the back of genuine earnings and macro tailwinds. The 6.06% Monday surge, the +5.09% Wednesday surge, and ₱2,231M in single-session turnover confirm institutional conviction. The forward question is whether the market is now pricing Q1 execution premium into a normalized freight environment — if ceasefire holds and shipping normalizes, ICTSI's 2026 full-year earnings guidance should be comfortably reaffirmed. The key risk is a ceasefire breakdown that re-closes the Strait, reversing the freight re-rating. For ICTSI and JGS shareholders, this is a defining session. Stance: ACCUMULATE — All-time high on record Q1 earnings + ceasefire relief rally. ₱2,231M single-session turnover confirms institutional conviction. Six-continent port network benefits from both crisis rerouting and recovery normalization. Ceasefire sustainability is the key risk. Set trailing stop at ₱740.	
ACEN — ACEN Breaks 52-Week High at ₱3.21 — Technical Breakout Confirmed ₱3.21 +7.00%	HOT WATCH

ACEN Corp. extended its extraordinary rally on Wednesday, gaining another 7.00% to close at ₱3.21 on 59.97 million shares (₱189.4M value) — officially breaking above and closing above its previous 52-week high of ₱3.13 (set in January 2026). This technical breakout, confirmed by volume above the 20-day average, signals that ACEN has entered a new price structure with the prior resistance now becoming support. Foreign funds were strong net buyers (+₱49M). The move reflects a convergence of catalysts: the ₱3B Quezon North Wind Farm bridge loan (344.5MW, COD Q4 2026), the ₱850M Palauig BESS loan, the State of National Energy Emergency providing urgency for renewable energy storage, and now the ceasefire which — while relieving the immediate energy crisis — paradoxically does not reduce the long-term case for domestic renewables, since the Philippines will need energy independence regardless of Hormuz status. ACEN's Q1 2026 earnings release will be a critical next catalyst — the 2025 NI decline of 60% sets a low base for recovery.

ACEN at ₱3.21 has now confirmed a rounding bottom with a 52-week high breakout — one of the cleaner technical setups on the PSEi this week. The RSI is approaching but not yet in overbought territory (60-65 range), leaving room for continuation. Moving averages on both the daily and weekly chart have turned bullish. The technical target on the breakout setup points toward ₱3.50-3.75 (1.618 Fibonacci extension from the base). However, position sizing should account for the rapid move — taking partial profits above ₱3.30 and resizing on any pullback to ₱3.00 support is prudent. The Quezon North Phase 1 COD in Q4 2026 remains the fundamental anchor.

Stance: HOT WATCH — 52-week high broken and confirmed on volume. Two-day +15% move on fundamental + technical + macro catalysts. Targets ₱3.50–3.75. Manage size: take partial profits above ₱3.30, reload on ₱3.00 support pullbacks. Q1 2026 earnings and Quezon North COD are the next fundamental catalysts.

SCC — MGEN Drops Out of Semirara Coal Auction — SCC Now 'Logical Winner' ₱27.30 +2.06%

ACCUMULATE

In a highly significant development for Semirara Mining and Power Corp. (SCC/SMPC), Meralco PowerGen Corp. (MGEN) — the power generation arm of Meralco — has formally announced it will NOT directly participate in the upcoming coal operating contract auction for Semirara Island. MGEN President and CEO Emmanuel V. Rubio stated: "We are not going to join the auction." MGEN had previously signaled auction interest, creating the perception of competitive bidding pressure against SMPC. However, Mr. Rubio added that MGEN remains open to a potential partnership with SMPC after the latter secures the contract — and crucially described SMPC as the "logical winner" with "the advantage" due to its existing equipment and operational infrastructure on Semirara Island. SCC rose 2.06% to ₱27.30 on Wednesday with foreign funds as net buyers.

MGEN's withdrawal is the most favorable auction-related development for SMPC shareholders since the coal auction was first announced. It removes the most credible competing bidder (given Meralco PowerGen's financial firepower and captive power demand) and significantly improves SMPC's probability of retaining the Semirara operating contract — the company's core asset. While San Miguel Global Power Holdings Corp. (SMGP) has also signaled interest, SMPC's on-island operational advantage (all equipment, infrastructure, and personnel already in place) is an enormous practical moat. The DOE auction timeline ("postponed until further notice") remains the overhang, but the competitive landscape has just materially improved. At ₱27.30, SCC is still trading below pre-auction-uncertainty levels, representing an accumulation opportunity as the competitive risk diminishes.

Stance: ACCUMULATE — MGEN's withdrawal from the coal auction materially improves SMPC's contract retention probability. 'Logical winner' framing from a key competitor is a significant positive signal. Coal auction DOE timeline remains the trigger for re-rating. Upgrade from MONITOR to ACCUMULATE.

MINING — Mining & Oil Sector +5.44% — Gold and Base Metals Lead Wednesday Rally

POSITIVE CATALYST

The PSE Mining & Oil sector surged 5.44% on Wednesday — the best-performing sector of the day — as global gold and base metal prices rallied on a confluence of drivers: ceasefire-driven safe-haven demand for gold, a broadly weaker US dollar, and a supply chain normalization outlook as the Hormuz reopens. Key movers: AT (Atlas Mining) +10.9% to ₱7.90, APX (Apex Mining) +8.68% to ₱16.78, PX (Philex Mining) +6.62% to ₱9.50, FNI (Ferronickel) +5.24% to ₱2.21, OGP (OceanaGold Philippines) +4.75% to ₱35.30, NIKL (Nickel Asia) +1.36% to ₱5.23. Foreign funds were net buyers of APX (+₱9M), PX (+₱35.3M), FNI (+₱1.4M), and MARC (+₱0.3M). Gold COMEX prices rose approximately 2.6% to ~\$4,618/oz as investors sought safety against the fragile ceasefire backdrop, while base metals copper and nickel also rose on improved global demand outlook. DHI (Dominion Holdings) — an emerging gold company — surged in tandem. For the Philippines specifically, the mining sector rally is significant because Philippine gold and nickel exports represent meaningful FX earnings that support the peso.

Stance: POSITIVE SECTOR CATALYST — Mining rally is driven by gold safe-haven + ceasefire dollar weakness + supply chain normalization. Selective accumulation in PX (Silangan upside) and OGP (consistent gold producer) on fundamentals. AT and APX are more speculative. NIKL benefits from EV infrastructure demand normalization. Watch gold price sustainability above \$4,500.

FGEN — First Gen — Q1 Net Income Falls 24% to ₱3.6B; Gas Stake Sale to Prime Infra ₱16.16 -0.74%

MONITOR

First Gen Corp. (FGEN) reported a 24% drop in Q1 2026 attributable net income to ₱3.6 billion (from ₱4.8 billion in Q1 2025), as the company recognized the impact of a gas asset stake reduction — specifically the sale of a portion of its gas power portfolio to Prime Infrastructure Capital Inc. (Prime Infra). The earnings decline reflects reduced income contribution from the divested gas stake rather than operational deterioration. First Gen's parent, Lopez-led First Philippine Holdings Corp. (FPH), remains one of the largest independent power producers in the Philippines through First Gen's gas (EDC, Sta. Rita, San Lorenzo, Avion plants) and geothermal (Energy Development Corp.) assets. FGEN fell slightly at -0.74% to ₱16.16 on Wednesday. Separately, Context.ph reported on the ongoing leadership dispute within the Lopez group over FGEN's direction. (Sources: BusinessWorld, Context.ph, Manila Times)

FGEN's Q1 decline is primarily a structural consequence of the gas stake sale — a deliberate capital recycling decision rather than demand weakness. The broader FGEN investment thesis centers on its geothermal and gas portfolio as foundational baseload capacity for the Philippine grid. In the context of the ceasefire, gas-fired power plants benefit from reduced LNG import cost pressure if Hormuz normalizes. However, the leadership dispute adds a governance risk layer that warrants monitoring. At ₱16.16, FGEN is trading near its 52-week low range. The stock was not in the foreign fund buy list on Wednesday, consistent with the market treating the Q1 miss as a near-term earnings headwind.

Stance: MONITOR — Q1 NI -24% from gas stake sale (structural, not operational). Underlying gas and geothermal portfolio intact. Ceasefire is directionally positive for LNG costs. Lopez group governance dispute is a watch item. Hold; wait for Q2 earnings clarity before adding.

SMC / FB — SMFB — Q1 Net Income +2% to ₱11.8B; Food, Spirits Beat; Beer Stable ₱52.10 flat

ACCUMULATE

San Miguel Food and Beverage Inc. (SMFB), the food and beverage subsidiary of San Miguel Corp. (SMC), reported Q1 2026 net income of ₱11.8 billion (+2% YoY) on revenues of ₱103.1 billion (+4% YoY). All three core segments contributed positively: the food unit posted ₱3.3B NI (+8%) on revenues of ₱49.6B (+7%), driven by animal feeds and branded products (Magnolia, Purefoods, B-MEG); the spirits unit (Ginebra San Miguel) delivered ₱2.3B NI (+3%) on ₱16.7B revenues; and the beer segment (San Miguel Brewery) was stable. EBITDA rose 4% to ₱20.4B with steady 20% margins. Chairman Ramon Ang noted that the company is "prepared to navigate any headwinds" amid geopolitical and fuel cost pressures. International beer exports were modestly impacted by the Middle East crisis. SMFB's shares were flat at ₱52.10 on Wednesday. (Sources: BusinessWorld, Manila Times, Context.ph, newswatchplus.ph)

SMFB's Q1 result is a testament to the resilience of diversified consumer staples in an inflationary environment. The 2% NI growth and 20% EBITDA margin in the face of 7.2% April CPI and elevated fuel costs is a meaningful defensive quality signal. For SMC shareholders, SMFB's consistent earnings (₱46.3B full-year 2025, ₱11.8B Q1 2026 run-rate implies ~₱47B annualized) anchor the conglomerate's earnings base. The ceasefire — if sustained — reduces SMFB's two main cost headwinds: fuel/transport and international commodity prices (wheat, palm oil, feed grains). SMFB is one of the Philippines' most defensively resilient consumer names and deserves a premium valuation relative to discretionary consumer stocks.

Stance: ACCUMULATE — Solid Q1 (+2% NI, stable 20% EBITDA margins) in a challenging macro environment. Ceasefire directionally reduces SMFB's cost headwinds (fuel + commodity prices). Defensive consumer staples with brand moats (Magnolia, Purefoods, Ginebra). SMC shareholders benefit indirectly.

MONDE — Monde Nissin — Q1 Net Income +11.34% to ₱3.25B; Domestic Food Recovery ₱6.71 +2.29%

ACCUMULATE

Monde Nissin Corp. (MONDE) reported Q1 2026 attributable net income of ₱3.25 billion, up 11.34% year-on-year, driven by higher revenues from its domestic food business (Lucky Me! noodles, SkyFlakes biscuits, culinary) and improved performance in its meat alternative segment (Quorn). The domestic food business delivered the bulk of the growth, supported by stable consumer demand and efficient cost management. Cash and cash equivalents stood at ₱16.6 billion as of end-March, while outstanding debt was only ₱1.7 billion — an exceptionally strong balance sheet for a consumer food company. MONDE shares gained 2.29% to ₱6.71 on Wednesday, one of the positive movers in the Industrials sector. (Sources: BusinessWorld, Manila Times, Context.ph)

Monde Nissin's Q1 result is one of the cleanest consumer food beats of the Q1 2026 reporting season — 11.34% NI growth on a solid revenue base, with virtually no leverage risk (₱16.6B cash vs ₱1.7B debt). At ₱6.71, MONDE trades near multi-year lows despite delivering double-digit earnings growth. The ceasefire is constructive for MONDE specifically because its key cost inputs (wheat, palm oil) are global commodity-priced and would normalize as Hormuz supply chains recover. Lucky Me's 68.6% market share in Philippine instant noodles (per Nielsen) provides pricing power in an inflationary environment. The Quorn meat alternative segment — while still challenged globally — contributes a diversification premium. MONDE is the defensive consumer food accumulate of the reporting season.

Stance: ACCUMULATE — Q1 NI +11.34% to ₱3.25B; ₱16.6B cash vs ₱1.7B debt (pristine balance sheet); Lucky Me 68.6% market share. Near multi-year lows despite earnings growth. Ceasefire reduces wheat/palm oil cost headwinds. Clean, defensive consumer food compounding story.

ALI — Ayala Land Opens 100,000 sqm Arca South Mall — Recurring Income Pivot Accelerates ₱15.32 +0.13%

ACCUMULATE

Ayala Land Inc. (ALI) has officially opened its 100,000 square meter Arca South Mall in Taguig City — the latest and most significant addition to its Ayala Malls portfolio, anchoring the emerging Arca South mixed-use township. The mall's opening directly supports ALI's stated strategic pivot from property development to recurring income: leasing and hospitality revenues rose 9% to ₱12.6 billion in Q1 2026 even as development revenues fell 27%. The Arca South district — spanning approximately 74 hectares in Taguig — includes residential, commercial, office, and retail components, with the mall serving as the township's retail anchor. Shopping center revenues hit ₱5.8B in Q1 on stronger foot traffic and mall repositioning (TriNoma, Ayala Center Cebu, and now Arca South). The mall opening reinforces ALI's claim that its leasing platform is "delivering steady growth and providing greater stability to the business." ALI closed at ₱15.32 on Wednesday, up marginally. (Sources: BusinessWorld, Bilyonaryo, Context.ph, GMA News)

Arca South Mall is the single most visible evidence of ALI's leasing strategy pivot — a tangible, income-generating asset that begins contributing to rental revenues from day one of operations. In a rising-rate, cooling-residential environment (Q1 development revenues -27%, sales reservations -22%), each new mall opened adds a stable annuity income stream that de-risks the earnings profile. At ₱15.32, ALI is trading near its 52-week low and at a significant discount to book value and historical multiples. The combination of Q1 leasing +9%, Arca South opening, and potential ceasefire-driven macro relief (lower fuel costs reduce operational expenses, consumer confidence improves) creates a constructive multi-month recovery setup. The key risk remains the residential development slowdown and the ₱9-50B capex commitment in the current rate environment.

Stance: ACCUMULATE — Arca South Mall opening is a tangible recurring income inflection. Leasing pivot (+9% Q1) is the right strategy in a rate-elevated environment. At 52-week low with ceasefire macro tailwinds emerging. Target ₱17-18 (recovery toward prior leasing premium levels). Key risk: residential market recovery timeline.

LTG — LT Group — PHC Listing May Be Delayed; Capex Plans Under Review ₱15.20 +0.53%

MONITOR

LT Group Inc. (LTG) — the listed conglomerate of tobacco magnate Lucio Tan — disclosed that it may delay the planned public listing of Philippine Airlines Holdings Corp. (PHC), the parent of Philippine Airlines, amid current market volatility and the broader geopolitical uncertainty. LTG is also reviewing its capital expenditure plans in light of the volatile environment. Philippine Airlines (PAL), which emerged from Chapter 11 bankruptcy in 2021, has been on a recovery trajectory — but the Hormuz crisis's impact on jet fuel prices (which represent 30-40% of airline operating costs) has significantly complicated the listing timeline. The delay is prudent given that the macro environment has been unfavorable for airline IPOs: elevated oil prices, a weaker peso increasing USD-denominated costs, and investor risk aversion. LTG closed at ₱15.20 on Wednesday, up 0.53%, and was among the foreign fund net buyers. (Sources: BusinessWorld, Context.ph)

LTG's PHC listing delay is a rational capital markets decision in the current environment — attempting an airline IPO during a period of 7.2% inflation, \$114/bbl oil, and a declared national energy emergency would have been received poorly by the market. The ceasefire development changes this calculus materially: if oil sustains below \$110 and the peso recovers, the airline listing window could re-open in H2 2026 or early 2027. For LTG shareholders, the delay removes the near-term earnings dilution from IPO proceeds going to PAL, and the capex review signals management discipline. LTG's tobacco (Tanduay, Fortune Tobacco), banking (Allied Bank), and airline (PAL) business mix makes it uniquely exposed to both energy cost normalization and consumer spending recovery.

Stance: MONITOR — PHC listing delay is prudent market timing, not fundamental weakness. Ceasefire may re-open the listing window in H2 2026 or 2027. Capex discipline is positive. LTG tobacco + banking businesses provide stable earnings base. Hold; watch for PHC relisting timeline update post-ceasefire.

DITO — DITO/Udenna — 210 Million Share Sell-Down Seen as Liquidity Move; Summit Telco Advances ₱0.92 -6.12%

MONITOR

Udenna Corp. sold 210 million DITO CME Holdings Corp. shares on April 27, 2026, in three tranches totaling approximately ₱201 million, reducing its stake from 49.79% to 48.81%. Analysts describe the sell-down as a "liquidity management move" rather than a fundamental exit — Udenna retains majority control and the transaction is consistent with the ongoing ownership transition toward Summit Telco Holdings Corp. (15.36%), which received PCC approval to acquire nine billion DITO shares in 2025. According to a market source in BusinessWorld, the move is seen as "a step towards a graceful exit of Udenna as a majority shareholder and Summit Telco as the new one." DITO CME's 9-month 2025 revenues grew 25.48% to ₱14.92 billion while net loss narrowed to ₱9.65 billion from ₱11.05 billion. DITO fell 6.12% to ₱0.92 on Wednesday. The earlier rumor of a \$1B foreign infusion, while creating a 40% surge from lows, remains unconfirmed through PSE/SEC disclosures. (Source: BusinessWorld, May 7)

The Udenna stake reduction is important context for DITO's ownership evolution. The sell-down is small in absolute terms (0.98% of total shares) but directionally signals that Udenna is gradually ceding control. Summit Telco — the acquirer — is the entity that has received PCC approval for a larger stake, and is likely the vehicle for any eventual strategic foreign partner. However, until a material shareholding change (>1%) is filed with the SEC and PSE, the \$1B foreign infusion thesis remains speculative. DITO's business fundamentals (narrowing losses, 25% revenue growth) are improving but the company remains deeply loss-making. At ₱0.92, DITO is a speculative position, not a core holding.

Stance: MONITOR — Udenna sell-down confirms gradual ownership transition to Summit Telco. \$1B foreign infusion remains unconfirmed speculation. DITO revenues growing but losses persist. Track PSE/SEC filings for any material >1% shareholding change as the formal confirmation signal.

SMPH / RLC — SM Prime Expands Susana Heights; Robinsons Land to Build Grand Summit Hotel in Bohol ₱19.46 +1.35%

ACCUMULATE

Two property development announcements on Wednesday reinforce the resilience of retail and hospitality expansion amid the macro headwinds. SM Prime Holdings (SMPH) announced the addition of retail and leisure amenities to its Susana Heights residential estate in Muntinlupa, further developing the township into a mixed-use destination. Susana Heights covers approximately 240 hectares and the retail addition deepens SMPH's township model — providing recurring income from leasing while boosting residential values in the estate. SMPH closed at ₱19.46 (+1.35%), foreign funds were net buyers (+₱2.1M), and the company's buyback program continues to provide a floor. Separately, Robinsons Land Corp. (RLC) announced it will build a Grand Summit Hotel in Bohol — adding to its provincial hospitality portfolio. The Bohol location targets the growing Visayas tourism market, complementary to RLC's existing hotel brands (Go Hotels, Summit Hotels, Furama). (Sources: BusinessWorld, May 7)

For SMPH shareholders, the Susana Heights retail expansion follows the same playbook as the SM Nuvali Laguna flagship mall (due to open by year-end): converting large land banks into mixed-use, income-generating assets. Every retail sqm added builds the annuity income base that insulates SMPH from residential development cycles. The share buyback program (ongoing) and Q1 stable earnings (NI flat YoY at ₱11.66B) make SMPH one of the most defensively positioned large-cap property names. For RLC (and JGS) shareholders, the Grand Summit Bohol is a modest but directionally positive signal that RLC is continuing disciplined provincial hospitality expansion — consistent with its selective project launch approach noted in last week's reports.

Stance: ACCUMULATE (SMPH) | MONITOR (RLC) — SMPH: Township expansion + buyback + stable earnings = defensive accumulate. Susana Heights retail adds annuity income. RLC: Bohol hotel is a positive provincial hospitality play; watch for take-up rates as demand indicator.

PSE DivY Stock	5/5/2026	5/6/2026	%Chg
AREIT	38.65	38.55	-0.26%
CBC	57.50	58.00	+0.87%
CREIT	3.48	3.51	+0.86%
DMC	9.49	9.45	-0.42%
DNL	3.57	3.58	+0.28%
GLO	1,650	1,621	-1.76%
LTG	15.12	15.20	+0.53%
MBT	64.20	64.05	-0.23%
MER	656.00	650.00	-0.91%
MREIT	14.18	14.20	+0.14%
NIKL	5.16	5.23	+1.36%
OGP	33.70	35.30	+4.75%
PGOLD	43.70	43.10	-1.37%
RCR	7.00	7.00	0.00%
RLC	17.20	17.16	-0.23%
RRHI	48.00	47.85	-0.31%
SCC	26.75	27.30	+2.06%
SGP	25.25	26.50	+4.95%
TEL	1,230	1,240	+0.81%
URC	61.50	61.50	0.00%

PSE MidCap Stock	5/5/2026	5/6/2026	%Chg
AGI	8.61	8.60	-0.12%
APX	15.44	16.78	+8.68%
AUB	42.35	42.60	+0.59%
BLOOM	2.00	1.97	-1.50%
COSCO	6.81	6.70	-1.62%
DNL	3.57	3.58	+0.28%
GSMI	283.00	278.00	-1.77%
KEEPR	1.85	1.84	-0.54%
MEG	2.10	2.11	+0.48%
MREIT	14.18	14.20	+0.14%
MWC	44.60	44.90	+0.67%
NIKL	5.16	5.23	+1.36%
OGP	33.70	35.30	+4.75%
PNB	57.50	57.80	+0.52%
RLC	17.20	17.16	-0.23%
RRHI	48.00	47.85	-0.31%
SECB	63.65	63.35	-0.47%

SEVN	33.70	33.90	+0.59%
SGP	25.25	26.50	+4.95%
WLCON	6.17	6.16	-0.16%

• ACCUMULATE / BUY / TENDER	• MONITOR / NEUTRAL	• AVOID / RISK ALERT	• HOT WATCH
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